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1-D:

The factors of production are the resources used to create goods and services. Economists traditionally classify these into four categories: land, labor, capital, and entrepreneurship.

Land, as a factor of production, encompasses all natural resources used in the creation of goods and services. This includes not only the physical land itself, but also everything derived from it, such as water, minerals, and forests.

Why not other options?

A- Capital is a man-made resource

B- enterprises include owners

C- labours do no count of children

2-D:

Opportunity cost is the value of the next best alternative that is forgone when a choice is made. It represents what you give up when you select one option over another.

If you choose to work an extra hour, the opportunity cost might be the time you could have spent relaxing, pursuing a hobby, or spending time with family.

3-D:

The Production Possibilities Curve (PPC) is a model used to show the tradeoffs associated with allocating resources between the production of two goods.

Natural disasters would shift the PPC inwards from point Y to D as the economy's ability to produce more goods and services decreases and thus impacting production capacity.

Why not other options?

Movement of point A and B showing the concept of increasing opportunity cost along the curve

While point C is currently unattainable for an economy to produce due to unlimited resources

4-C:

The formal microeconomics definition is the branch of economics that studies the behavior of individuals and businesses and how decisions are made based on the allocation of limited resources.

Effects of an increase of goods and services is a price factor that include in microeconomics as a law of demand

Why not other options?

Other options mentioned come under the macroeconomics

5-C:



Market

['mär-kæt]

A place where parties can gather to facilitate the exchange of goods and services.

6-D:

An external benefit, also known as a positive externality, is a benefit imposed on a third party who is not directly involved in an economic transaction.

Cycling instead of cars will likely to reduce the congestion for those who will use the roads and this will give them an external benefit

Why not other options?

A- building cycling lanes is a private cost

B- cycling improving the physical fitness is a private benefit

C- lower of cost for cycling is a private cost

7-A:

At \$800 price of each suit, TR ($P \times Q$) would be \$7200

Customers R= 3200

Customer S= 800

Customer T= 1600

Customer U= 1600

Total revenue= 7200

Why not other options?

B- At price 900, the TR is 6300

C- At price 1000, the TR is 5000

D- At price 1100, the TR is 3300

8-D:

The price elasticity of supply (PES or Es) is commonly known as “a measure used in economics to show the responsiveness, or elasticity, of the quantity supplied of a good or service to a change in its price

New-Old/Old — % change in QD
 $500-400/400= 0.25$

New-Old/Old — % change in price
 $6-5/5 =0.2$

$PES= 0.25/0.2=1.25$

9-B:

More ways of making payments would allow consumers to switch to other methods instead of using paper money and as a result its usage will reduce.

10-C:

Fewer girls become skilled engineers. That means girls have fewer opportunities comparatively to the boys so become less engineers. The best example could be seen in Pakistan

Why not other options?

A- no

B- no linked to design engineering

D- cost highly to both boys and girls

11-C:

At point X the wage is lower, while if the wage rate is increased to W wage rate there would be surplus of workers in a market as quantity supplied would exceed the quantity demanded. Workers would be willing to work at higher wages and thus increase the supply of labour in a market till point T

While the employers would reduce the demand for labour due to high wage rates and thus employ labourers till point R

Therefore, the change in employment would from point S to R as workers would be unemployed due to high wages.

Why not other options?

A- OR represents the total demand for labour demanded by the employer

B- OT represents the total supply of labour in a market

D- RT represents the surplus of workers in a market

12-A:

Diseconomies of scale occur when a business grows so large that the costs per unit increase, thus increasing their ATC.

Why not other options?

B- fewer workers needed means that quality of machinery increases the productivity

C- Yes, generally, an increase in output per hour due to more machines used can lead to increased productivity

D- cost spread as more units of output produce and this will result in lower ATC and thus achieving EOS

13-D:

Low start up and running cost would allow small businesses to easily set up

Why not other options?

A- intense competition would reduce the ability of small businesses to survive in a market

B- no scope for EOS in a small business due to large amount of FC

C- more training required, then there would be shortage of hairdressers in a market and this is not the case mentioned

14-B:

Total revenue (also referred to as gross revenue) is the total amount of money a company generates from its business activities before deducting expenses. It factors in all sources of income. The formula is $\text{Total Revenue} = \text{Price} \times \text{Quantity}$

Why not other options?

A- cost

C- profit

D- tax

15-D:

When barriers to entry are low, it means it's relatively easy and inexpensive for new businesses to start operating in a particular market. Therefore make a competitive market. Also a large number of sellers means consumers have more choices and are not reliant on a single provider. This abundance of options puts downward pressure on prices, as sellers compete for customers.

16-D:

Inflation is the rate of increase in prices over a given period of time.

During this time, the AD exceeded the AS, causing the price to rise.

A higher income tax would reduce the consumer disposable income. As a result, the consumption and spending would fall in an economy causing AD to decrease.

Why not other options?

A- to discourage the certain types of goods and services, the indirect tax is required

B- if tax revenue used for government spending then AD would continue to rise and thus hyper inflation in an economy

C- in time of high inflation, the redistribution of income couldn't be an objective of a government

17-A:

A higher rate of interest rates encourages savings. Consumers save more to have a good return on their savings. As a result, the consumption and spending falls and AD controls during a high inflation.

Why not other options?

- B- higher government spending would contribute to the high rate of inflation
- C- investment is discouraged during a high rate of interest as it increases the cost of borrowing for an investor
- D- higher interest rates cause exchange rates to rise, causing appreciation.

18-B:

From the given information, the government expenditure is greater than the government tax revenue that is \$3.69 trillion exceeding \$3.25.

This suggests that the government is still in a state of **budget deficit**.

The policy aim could be **to reduce the deficit** as government revenue grows while its expenditure is falling.

19-B:

CPI says that the inflation rate fell from 3% to 0.8%. This indicates that the rate of inflation is falling but the prices are still increasing but at a decreasing rate.

Why not other options?

- A- prices are still rising but at a slower rate
- C- no information related to interest rates
- D- the purchasing power of fixed earners would fall as prices are still rising and as a consequence their real income is falling

20-D:

Deflation is a decrease in the general price level of goods and services.

During this period of time, the AD is falling in an economy.

With prices falling, consumers can purchase more items with the same amount of money.

For example, if a loaf of bread costs less today than it did last year, your money buys more bread than it did before. Therefore it increases the purchasing power of consumers

Why not other options?

A- Deflation makes it much more difficult for people in debt to pay their debt off. This means that people and businesses tend to spend a larger proportion of their disposable income on fulfilling their debt requirements.

B- deflation makes the country's goods and services more attractive to the foreigners due to fall in ER

C- deflation results in lower interest rates as demand for money drops

21-D:

Economic growth refers to an increase in the size of a country's economy over a period of time. The size of an economy is typically measured by the total production of goods and services in the economy, which is called gross domestic product (GDP).

22-B:

From the given table we can see that, in the **primary sector** the distribution of employment **fell** as the agricultural employment dropped by 1%.

While in the **secondary sector**, the distribution of employment remained **unchanged** as the manufacturing and retailing employment remained the same in both years.

23-D:

Real income is calculated by adjusting nominal income (your actual earnings) for the effects of inflation.

Real income = Nominal income% - inflation rate%

Company directors

$115\% - 103.4\% = 0.116$, the real income continues to rise as nominal income is greater than the inflation rate

Office workers

$105\% - 103.4\% = 0.016$, the real income continues to rise as nominal income is greater than the inflation rate

24-D:

In country Y, in year 1 the birth rate is greater than the death rate that indicates that the population is increasing at this time

While in year 2, the death rate is greater than birth rate and this indicates that the population is declining in year 2.

Hint: divide the diagram into two parts for year 1 and year 2 for better identification

Why not other options?

In country X, the population is rising in both years as birth rate was higher than the death rate

While in country Z, the population was falling first as the death rate is greater than the birth rate in year 1. But in year 2, population starts rising as death rate falls

25-C:

Absolute poverty is a state of being in which a person lacks the necessities of life, such as food, clothing, and shelter. In contrast, relative poverty is a condition in which a person's income is insufficient to meet his or her needs when compared to others in society.

Relative poverty is the condition in which people lack the minimum amount of income needed in order to maintain the average standard of living in the society in which they live.

The relative poverty likely to rise as 60% of the population has increased their income means that the other percentage of population wouldn't be able to increase their income. As a result, the richer become more rich

While there is constant absolute poverty as the rest of the population income remained unchanged

26-D:

After adjusting for inflation and population, it will become the real GDP per head.

Real GDP per capita is a crucial economic indicator that reflects the average value of goods and services produced per person in a country, adjusted for inflation. It essentially provides a measure of the standard of living and is calculated by dividing real GDP by the total population.

Why not other options?

Exports come under the GDP as a part of the economy's income.

27-B:

International specialization, where countries focus production on specific goods and services, is driven by several key factors, primarily comparative advantage and economies of scale. This leads to increased efficiency, lower production costs, and greater global output.

Increasing specialisation would likely make the workers occupationally immobile and therefore chances of structural unemployment increases.

Why not other options?

A- consumers pay lower prices for the goods and services as producing per unit cost would fall

C- not a disadvantage of international specialisation

D- resources used more efficiently due to intense foreign competition

28-A:

embargo is a trade barrier imposed by one country or group of countries on another, typically involving a complete ban on trade or other commercial activity

Why not other options?

B- An import quota is a restriction placed on the importation of a particular type of good that has been manufactured outside of the country. The effect of the import quota is to limit how much of the goods may be brought into the country during a specified time period.

C- Export subsidy is a government policy to encourage export of goods and discourage sale of goods on the domestic market through direct payments, low-cost loans, tax relief for exporters, or government-financed international advertising.

D- tariff is a tax on goods and services imported into a country. It is typically used to increase the price of imported goods, making them more expensive than domestic goods and services, thus protecting domestic industries

29-B:

The dollar value appreciated by 10%. That means the new imported goods price would be lower as appreciation makes the exported goods more expensive and imported goods relatively cheaper.

$$25000 \times 10\% = 2,500$$

$$25000 - 2500 = 22,500$$

The new import price will be US\$22500

30-D:

Current account is defined as the sum of the balance of trade (goods and services exports minus imports), net income from abroad, and net current transfers.

Increasing the spending on the military bases will make the payments outside the country, therefore increasing the current account deficit

Why not other options?

A- increasing the exports service will reduce the deficit

B- goods are cheaper now, more exports can be made and thus deficit will reduce

C- more visits by foreigner will allow county receive payments and therefore the deficit will reduce